Press Release

Summary IFRS results
9M 2023

November 2, 2023. Moscow. Sberbank (hereafter – “the Group” or “Sber” published Special Purpose Interim Condensed Consolidated Financial Statements under International Financial Reporting standards (IFRS) (hereafter “the Financial Statements”) for 9 months 2023 and as of September 30, 2023.

Sber net profit for 3Q 2023 reached RUB411.4 bn in accordance with International Financial Reporting Standards (IFRS)

Herman Gref, Chairman of the Executive Board, CEO, stated:

“Sber earned RUB1 149 bn net profit for 9M 2023 and deliver return on equity of 26%.

The third quarter of 2023 marked a milestone for us in regard to lending growth: the corporate loan portfolio increased by 9.2%, while retail loan portfolio added 9%, at no compromise to asset quality. Retail deposits were up by 6.4% during the quarter, enhancing Sber market share to 44.7%.

We continue to develop new AI-solutions for our clients. In September, we open to public our GigaChat service, the number of unique users of which has reached 1 mn. We launched GigaChat API for businesses to develop their own solutions and optimize processes. Our neural network Kandinsky 2.2 “learned” to create short animation videos.

Strong results for 9M 2023 and a good start of the fourth quarter of 2023 form a solid ground for an upgrade to our 2023 ROE forecast to above 24%.”

Key financial results for the reporting period

9 months 2023

1 148.9 RUB bn	52.7 RUB	26.2%	13.3%
Group net profit[1]	Earnings per share (EPS)[1]	Return on equity (ROE)	Capital adequacy ratio (N20.0)[2]

Key Client Activity Metrics

mn, unless stated otherwise	30.09.2023	31.12.2022	*year to date change*
Number of active retail clients	107.6	106.4	*1.2*
MAU – SberBank Online app (app+web)	81.0	78.6	*2.4*
DAU – SberBank Online app (app+web)	42.2	40.9	*1.3*
Number of active corporate clients	3.1	3.0	*0.1*

- Number of active retail clients reached 107.6 mn, the number of corporate clients came at 3.1 mn.
- Number of active monthly users (MAU) of SberBank Online (app+web) came at 81 mn, while number of daily users (DAU) — 42.2 mn. DAU/MAU ratio remained at a high level of 52%.
- Number of SberSpasibo loyalty program users increased by 7.5 mn since the beginning of the year to 73.7 mn.
- Number of Sber ID users, a unified login that gives access to services of Sber and partners, increased by 13.0 mn to 68.0 mn for 9M 2023, while number of available services rose to 170.
- Number of SberPrime users, a subscription that offers financial and lifestyle services from the bank and partners, came at 6.2 mn (+0.5 mn since the beginning of the year).
  - At the beginning of October, Sber added new benefits to the SberPrime subscription: additional financial and entertainment services without changing the cost of the plan.
- Sber took the first place in terms of brand strength among all European banks, according to Brand Finance. Sber demonstrates strong financial results, develops innovative products and services and maintains trust of more than 110 mn retail and corporate clients.

Group Income Statement Highlights

RUB bn, unless stated otherwise	3Q 2023	9M 2023
Net interest income	667.9	1 828.3
Net fee and commission income	195.5	553.5
Operating income before provisions	796.9	2 358.7
Net charge related to change in asset quality[3]	-48.0	-234.9
Staff and administrative expenses	-234.2	-632.4
Net profit	**411.4**	**1 148.9**
Earnings per ordinary share, RUB	19.25	52.72
Key financial ratios		
Return on equity[4]	27.6%	26.2%
Return on assets[5]	3.4%	3.3%
Net interest margin	6.01%	5.87%
Cost of risk (amortized cost and FV loans)	0.5%	0.9%
Cost-to-income ratio	29.4%	26.8%

Net interest income increased to RUB667.9 bn in 3Q 2023 thanks to expanding volume of working assets and improving margins compared to the same period last year. For 9M 2023, net interest income increased to RUB1 828.3 bn.

- Net interest margin in 3Q 2023 rose to 6.0% on the back of increasing rates in the economy and change in the balance structure.

Net commission income came at RUB195.5 bn in 3Q 2023 and demonstrated positive dynamics in comparison to the same period last year due to growth in income from operations with bank cards and cash and settlement transactions. For 9M 2023, net fee and commission income was RUB553.5 bn.

- For the second year in a row, Sber came first in the ranking of the largest payment card issuers in Europe by POS turnover, according to The Nilson Report[6].
- Total payments, transfers and acquiring volume expanded by 32% y/y in 3Q 2023.
- The number of monthly users of contactless payment service SberPay exceeded 28 mn.
- About 3 mn children use SberKIds cards, the terms of which became even more favorable in September 2023.

The Group **operating income before provisions** increased in 3Q 2023 and amounted to RUB796.9 bn. For 9M 2023, operating income before provisions came at RUB2 358.7 bn.

Operating expenses of the Group amounted to RUB234.2 bn in 3Q 2023, showing growth in comparison to the same period last year. Such dynamics are explained by last year's large scale anti-crisis cost optimization program, strong dynamics in business growth this year as well as salary increase starting from July 2023. For 9M 2023, operating expenses amounted to RUB632.4 bn.

Cost-to-income ratio was at 29.4% in 3Q 2023 and 26.8% for 9M 2023, highlighting Sber high operating efficiency.

Net provision charge against credit quality deterioration, including revaluation of loans at fair value, reached RUB48.0 bn in 3Q 2023 and RUB234.9 bn for 9M 2023. Cost of risk decreased to 0.5% in 3Q 2023 and to 0.9% for 9M 2023.

Sber **Net profit** in 3Q 2023 rose to RUB411.4 bn. For 9M 2023, Sber earned RUB1 148.9 bn.

Group Balance Sheet Highlights

RUB bn, unless stated otherwise	30.09.2023	30.06.2023	31.12.2022	*quarter to quarter change*	*year to date change*
Gross loans[7]:	**37 855**	**34 687**	**31 038**	***9.1%***	***22.0%***
Corporate loan portfolio	22 676	20 759	18 608	*9.2%*	*21.9%*
Retail loan portfolio	15 179	13 928	12 430	*9.0%*	*22.1%*
Client funds:	**34 841**	**32 870**	**29 876**	***6.0%***	***16.6%***
Retail deposits	21 409	20 123	18 499	*6.4%*	*15.7%*
Corporate deposits	13 432	12 747	11 377	*5.4%*	*18.1%*
Net loan-to-deposit ratio	**103.3%**	**100.0%**	**98.3%**	***3.3 pp***	***5.0 pp***

Retail loan portfolio amounted to RUB15.2 trn in 3Q 2023, increasing by 9.0% q/q and by 22.1% ytd. Yield on retail loans increased by 0.4 pp during the quarter to 12.4%.

- The share of retail product sales through digital channels increased by 2.1 pp and exceeded 71%.

Mortgage loan portfolio rose by 10.1% q/q or 24.6% ytd and exceeded RUB9.4 trn. Market share reached 55.7%[8].

- In 3Q 2023, mortgage loan issuance amounted to RUB1.5 trn. Expectations of further growth in interest rates and tightening of lending conditions led to increased demand from clients.

Consumer unsecured loan portfolio increased by 4.1% q/q or by 12.5% ytd to RUB4.0 trn.

- Consumer loans issuance remained elevated during the reporting period, but by the end of the quarter the growth rate of the portfolio slowed in response to tightening regulation.

Credit card portfolio rose by 14.8% q/q or by 30.9% ytd to RUB1.5 trn.

- Clients continue to choose the SberCard credit card for its obvious advantages: clear terms, free service and notifications, an extended interest-free period of 120 days, increased cashback with SberSpasibo bonuses and a credit limit of up to RUB1 mn.
- Sber credit card market share came close to 50%.

Corporate loan portfolio rose by 9.2% q/q (+7.5% excluding adjustment for the impact of FX revaluation[9]) or by 21.9% ytd (+15,6% excluding adjustment for the impact of FX revaluation[9]) and came to RUB22.7 trn. The yield on corporate loans increased by 0.8 pp to 9.2% in 3Q 2023.

- Sber corporate lending market share was up by 0.6 pp in 9M 2023 to 32.8%.
- In 3Q 2023 Sber issued record RUB6.2 trn in corporate loans.
- Residential real estate loan portfolio was up by 10.0% in 3Q 2023 and reached RUB3.8 trn. In September, Sber closed, the first of its kind in Russia, project finance deal with a real estate developer via an automatically accepted decision that was made possible thanks to AI technology.

Retail funds amounted to RUB21.4 trn, demonstrating growth by 6.4% q/q or by 15.7% ytd. The cost of retail deposits rose by 0.2 pp to 3.6% during the quarter.

- Sber retail funds market share rose to 44.7% in 3Q 2023.
- In 3Q 2023, following the increase in the key rate of the Bank of Russia, Sber increased rates on deposits for all clients. In addition, Sber payroll clients and holders of the Premier, SberFirst and Private Banking service packages received additional benefits.
- The funds in escrow accounts increased by 37% for 9M 2023 and exceeded RUB2.8 trn. As of October 1 2023, more than 1.1 mn accounts have been opened.

Corporate funds rose by 5.4% q/q (+2.9% excluding adjustment for the impact of FX revaluation[9]) or by 18.1% ytd (+12.1% excluding adjustment for the impact of FX revaluation[9]) to RUB13.4 trn. The cost of corporate deposits increased by 1.4 pp during 3Q 2023 to 5.5%.

Net LDR ratio was at 103.3% at the end of 3Q 2023.

Key Asset Quality Metrics

%, unless stated otherwise	30.09.2023	30.06.2023	31.12.2022	*quarter to quarter change*	*year to date change*
Stage 3 + POCI loans / total gross loans at amortized cost	3.8%	3.9%	3.9%	*-0.1 pp*	*-0.1 pp*
Provision coverage of Stage 3 + POCI loans	136.4%	138.4%	142.5%	*-2.0 pp*	*-6.1 pp*

The quality of the loan portfolio in 3Q 2023 remained stable in all major segments. The share of Stage 3 and POCI loans in loans at amortized cost decreased by 0.1 pp to 3.8% during the quarter.

Total provision coverage of impaired loans was at 136.4%.

Selected Group Capital Adequacy Results

RUB bn, unless stated otherwise	30.09.2023	30.06.2023	31.12.2022	*quarter to quarter change*	*year to date change*
Common equity Tier 1 capital	5 741.7	5 471.1	5 339.7	*4.9%*	*7.5%*
Tier 1 capital	5 891.7	5 621.1	5 489.7	*4.8%*	*7.3%*
Total capital	6 098.4	5 825.7	5 686.2	*4.7%*	*7.2%*
Risk-weighted assets	43 399.0	39 591.5	36 438.6	*9.6%*	*19.1%*
Common equity Tier 1 capital adequacy ratio	13.2%	13.8%	14.7%	*-0.6 pp*	*-1.5 pp*
Tier 1 capital adequacy ratio	13.6%	14.2%	15.1%	*-0.6 pp*	*-1.5 pp*
Total capital adequacy ratio	14.1%	14.7%	15.6%	*-0.6 pp*	*-1.5 pp*
Capital adequacy ratio for the Group N20.0	13.3%	13.6%	14.2%	*-0.3 pp*	*-0.9 pp*
Book value per share[10], RUB	**274.5**	**261.9**	**255.8**	*4.8%*	*7.3%*

Common equity Tier 1 capital grew by 7.5% during 9M 2023 to RUB5.7 trn. Total capital increased by 7.2% ytd to RUB6.1 trn.

The Group risk-weighted assets were up by 19.1% ytd to RUB43.4 trn mainly due to growth of loan portfolio.

Risk-weighted assets density amounted to 84.7%, increasing by 0.8 pp since the beginning of the year mainly due from applying higher risk-weighted add-ons to retail loans as per the Bank of Russia regulation.

Common equity Tier 1 capital and Tier 1 capital adequacy ratio were at 13.2% и 13.6% respectively, while **total capital adequacy** – 14.1%.

Capital adequacy ratio for the Group N20.0[2] was at 13.3% as of the end of September 2023.

Technological Leadership

Continuous innovation and technological development continues to be our key priority.

- Sber gave public access to the generative artificial intelligence GigaChat, that is now available to users of all Sber smart devices. To date, the number of unique GigaChat users has reached 1 million. In addition, businesses have access to the GigaChat API for their own solutions and process optimization.
- GigaCode is a modern tool for developing and auto-filling software code. One piece of code at a time, this tool helps developers autocomplete, generate code, and do unit tests. Preliminary calculations show up to 25% optimization of code writing speed.
  - The solution covers popular programming languages, including Java, JavaScript, Python, as well as development environments IDEA, PyCharm, VSCode and Jupiter and others.
- GitVerse, a web service for hosting IT projects and joint development, was launched in test mode.
- Users of Sber neural network Kandinsky 2.2 now have the opportunity to create short animation videos based on text descriptions. Upon request, a 4-second video with a selected animation effect is generated at a frequency of 24 frames per second.
- On September 21, Sber large-scale conference SmartDev 2023 was held for developers, engineers, analysts and other representatives of the tech community: 77 speakers, 48 ths participants, more than 1 mn online views.
- The number of technology implementations and changes increased by 42% y/y, while the impact of technology changes on incidents decreased by 22% y/y. The reliability of the Sber platform is its absolute priority and remains at the level of 99.99%.
- Sber continues to implement initiatives to reduce the cost of data storage. **Information Lifecycle Management** (ILM) covers the full cycle of working with data and optimizes the use of storage resources at low cost; 72.6 PB were freed up at the end of the quarter.
- The number of monthly users (MAU) of **virtual assistant Salut** rose by 2.2 mn during the quarter to 19.5 mn in SberBank Online and other Sber digital surfaces.

ESG

In 3Q 2023 Sber registered the first Russian voluntary low-carbon energy certification system with Rosstandart.

- It allows to confirm the production and consumption of low-carbon and renewable energy through the issuance and redemption of green certificates.

Sber achievements in ESG were noted by several rating agencies:

- Rating agency «Expert RA» awarded Sber with ESG rating ESG-II(a), which implies that Sber has high level of compliance with interests in the field of sustainable development when making key decisions.
- In August, Sber earned AA ESG rating and led the ESG ranking of Russian companies, according to RAEX-Europe; was among the leaders of the ESG index consisted of Russian companies according to RBC and the NCR rating agency.
- Rating agency AK&M assigned Sber's non-financial reporting a rating of RESG 1, which corresponds to the highest level of disclosure of information on sustainable development.

In October, the National Rating Agency (NRA) assigned Sber a non-credit rating of AA on the ESG scale, which makes Sber the first Russian company in the financial sector with the highest rating ever assigned by NRA.

At the end of 3Q 2023, the responsible banking portfolio, which includes green, social and ESG loans, exceeded RUB2 trn.

Conference call details

November 2, 2023 at 11:00 msk

Main Russian line
Topic: Quarter results disclosure

To connect to the conference using link below:
https://jazz.sber.ru/3ozvry?type=webinar&role=VIEWER&psw=OAMVFxwSBEZRExIBQwYTVV4ZDw

Conference code: 3ozvry@jazz.sber.ru
Password: pwrnva08

English (listen-only)
Topic: SBER earnings call

To connect to the conference using link below:
https://jazz.sber.ru/kz6iqw?psw=OB4OXQoFEQNdDglLVREGEFIEFA

Conference code: kz6iqw
Password: ml8xatu4

[1] Includes discontinued operations. Basic earnings per share is calculated by dividing the profit (loss) attributable to shareholders holding ordinary shares of the Bank, or from profit or loss from continuing operations, by the weighted average number of ordinary shares outstanding during the period, less treasury shares repurchased from shareholders.

[2] Operating results.

[3] Includes net expenses from provisioning for debt financial assets and revaluation of loans at Fair Value due to changes in credit quality.

[4] Excluding the subordinated loan agreement in the amount of RUB150.0 bn classified as equity financial instrument that was previously ceded by the Bank of Russia in favor of the Ministry of Finance.

[5] Based on profit from continuing operations.

[6] The data is provided based on 2022.

[7] Before loan loss allowance.

[8] Including securitization of loan portfolio.

[9] Based on management accounts.

[10] Total equity attributable to shareholders of the Bank / Total numbers of shares outstanding (ordinary + preferred),

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